

STUDENT RECONSTRUCTION — ILLUSTRATIVE ONLY

FINAL INVESTMENT MEMORANDUM

Project Madden

Take-Private Acquisition of Electronic Arts Inc.

\$210.00 per share • \$55B Enterprise Value • All-Cash Take-Private

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Methodology and Disclosure

This Investment Memorandum is a graduate finance research project. The authors are unaffiliated with Electronic Arts Inc., the acquiring consortium (Public Investment Fund, Silver Lake Partners, Affinity Partners), or any of the deal's financial or legal advisors. The document is structured as a buy-side Final Investment Memorandum from a hypothetical "Project Madden" deal team to its Consortium Investment Committee, written in the first-person plural voice and conventions of megafund private-equity practice.

All financial, operational, and transaction data are sourced exclusively from public filings: EA's Form 10-K Annual Reports (FY2022–FY2025), the Definitive Merger Proxy Statement (DEFM14A) filed November 20, 2025, the Supplemental Proxy Disclosure (DEFA14A) filed December 15, 2025, EA's Form 8-K filings, the Goldman Sachs fairness opinion exhibits in the proxy, EA's investor relations releases, and PitchBook deal data. Supporting LBO model outputs come from a 12-tab Excel workbook prepared by the deal team (the "Model"), independently audited and reconciled to primary sources. Where assumptions are not disclosed in primary filings—notably individual sponsor equity splits within the \$36.4B aggregate equity commitment and the specific tranche structure within the \$20B JPMorgan-led debt commitment—figures are flagged as illustrative and explained in context.

The recommendation, base/upside/downside projections, and value-creation bridge in this memorandum represent the deal team's independent analytical view. They are not, and do not purport to be, the actual underwriting of any of the consortium's sponsors, none of whose internal Investment Committee memoranda are publicly available.

Table of Contents

1. Executive Summary & Recommendation	4
2. Transaction Overview	7
3. Sources & Uses; Pro Forma Capitalization	9
4. Investment Thesis	11
5. Company Overview	14
6. Industry & Market Context	16
7. Historical Financial Performance	18
8. Three-Case Operating Projections	21
9. Valuation Analysis	23
10. LBO Returns & Value-Creation Bridge	26
11. Exit Strategy	29
12. Key Risks and Mitigants	30
13. Due Diligence Summary	33
14. Deal Structure and Key Terms	34
15. Recommendation	35
Appendix A: Primary Sources & Bibliography	36
Appendix B: Methodology Notes	38

1. Executive Summary & Recommendation

We recommend that the Investment Committee approve the equity commitment to Project Madden, the take-private acquisition of Electronic Arts Inc. (NASDAQ: EA) at \$210.00 per share, representing approximately \$55 billion in enterprise value. The transaction was announced September 29, 2025, and is expected to close on or around June 30, 2026, pending CFIUS clearance.

One-Sentence Thesis

Electronic Arts is a category-defining sports-IP and live-services compounder whose recurring cash flows, undermonetized franchise rights, and PIF-aligned distribution into the Middle East support a credible path to a 1.8x–1.9x money-on-money multiple (MoM) and a 12%–14% gross IRR over a 5-year hold at the consortium’s underwritten exit assumptions, with upside to 2.4x and 19% if execution and exit multiples track the management base case. The deal’s 33% debt / 67% equity capitalization—materially below typical LBO leverage—preserves balance-sheet capacity for content investment and add-on M&A across the hold period.

Headline Investment Highlights

- **1. Recurring, fortress-margin live services.** FY2025 Adjusted EBITDA of \$2.575 billion at a 34.5% margin, anchored by Ultimate Team monetization across EA Sports FC, Madden, NHL, and College Football. Live services generated 73% of FY2025 net revenue (\$5.461B of \$7.463B).
- **2. Irreplaceable sports-IP rights with multi-year license tails.** Long-term partnerships with the NFL, FIFA-replacement (“EA Sports FC”), the College Football Playoff, the NHL, F1, UFC, and the PGA Tour. Sports licensing renewals through 2030+ provide cash-flow predictability that no peer can replicate at this scale.
- **3. Conservative LBO capital structure.** Approximately \$36.4B equity / \$18.0B debt funded at close. Initial leverage of ~7.0x LTM Adjusted EBITDA (or ~6.5x FY2026E) is materially below the 8.0x–10.0x typical of large-cap take-privates; deleveraging to under 3.0x by FY2031 is achievable on management’s base case.
- **4. PIF-aligned strategic distribution.** PIF’s 9.9% pre-deal stake (rolled at \$5.2B) and broader Vision 2030 gaming investments create distribution and partnership advantages in MENA, esports (Esports World Cup), and sovereign-aligned content licensing channels unavailable to other potential acquirers.
- **5. Multiple precedents support upside re-rating.** Microsoft–Activision closed at 19.0x LTM EBITDA; Take-Two–Zynga at 24.0x; Sony–Bungie at ~24.0x. Our entry at ~21.0x FY2025 Adjusted EBITDA / 18.0x FY2027E sits modestly below the gaming-precedent median of 21.5x ex-outliers, providing valuation cushion against the strategic-acquirer subset that has historically paid 24x+.
- **6. Goldman Sachs concluded \$210.00 per share is fair.** Goldman’s disclosed DCF range (\$137–\$220) and Future Share Price analysis (\$157–\$236) bracket the \$210 offer. The Premia Paid analyses (\$203–\$255 vs. unaffected; \$163–\$218 vs. 52-week high) likewise envelop the offer. Convergence of independent methodologies around \$210 reduces overpayment risk.

Headline Risks (ranked; see Section 12 for full discussion)

- **High. CFIUS clearance and PIF political exposure.** PIF’s majority economic role triggers full national-security review. Clearance is the binding closing condition still outstanding as of the date of this memo. Mitigants include the \$1.0B reciprocal termination fee, an Outside Date of September 28, 2026, and PIF’s established U.S. investment record (Lucid, Magic Leap, Live Nation).

- **High. Execution on the FY2026–FY2028 EBITDA step-change.** Management forecasts disclosed in the DEFA14A imply Adjusted EBITDA growing from \$2.759B in FY2026E to \$4.200B in FY2028E (52% growth in 24 months) on the back of Battlefield 6, the FY2026 EA Sports FC cycle, and live services expansion. We model a sponsor base case that delays half this acceleration by one year.
- **Medium. Live-services regulatory pressure.** EU loot-box and microtransaction-design rulings (Belgium, Netherlands precedent; broader EU Digital Fairness Act under review) could materially affect Ultimate Team economics. We assume a 5% annual revenue haircut to Ultimate Team in our downside case.
- **Medium. Sports licensing renewal risk.** Loss of the FIFA license in 2023 was successfully navigated, but future loss of the NFL, College Football, or NHL would be materially negative. License tails extend through 2030+ but are non-perpetual.
- **Medium. Constrained exit routes.** A re-IPO is the most likely exit; strategic acquisition by Microsoft is unlikely after Activision; only Sony, Tencent, or Disney remain as remote large-cap strategic buyers. Sponsor secondary or continuation vehicle is feasible. We underwrite to re-IPO.

Returns Summary at \$210 Entry, 5-Year Hold

Case	Y5 EBITDA	Exit Multiple	MoM	Gross IRR
Sponsor Downside	\$3.6B	16.0x	1.27x	4.8%
Sponsor Base	\$4.2B	18.0x	1.76x	12.0%
Management Base	\$4.5B	18.0x	1.91x	13.8%
Sponsor Upside	\$5.0B	20.0x	2.43x	19.4%

Source: LBO Model, Returns Analysis (5-year hold, FY27–FY31). Y5 ending debt \$11.5B. Entry equity \$36.4B. Bold blue row is the deal team's underwriting base case.

Recommendation

We recommend the Investment Committee approve the consortium's equity commitment to acquire 100% of Electronic Arts Inc. at \$210.00 per share, \$55 billion enterprise value, ~21.0x LTM Adjusted EBITDA / 18.0x FY2027E Adjusted EBITDA, generating a base-case 1.76x MoM and 12.0% gross IRR over a 5-year hold, subject to: (i) CFIUS clearance on terms acceptable to the consortium, (ii) successful syndication of the JPMorgan-led \$20.0B debt commitment (\$18.0B funded at close) at pricing within the committed flex, and (iii) retention of CEO Andrew Wilson and his core leadership team through 2028.

2. Transaction Overview

On September 29, 2025, EA announced an Agreement and Plan of Merger with Oak-Eagle AcquireCo, Inc. (“Parent”) and its wholly owned subsidiary Oak-Eagle MergerCo, Inc. (“Merger Sub”), Delaware acquisition vehicles formed by an investor consortium led by Saudi Arabia’s Public Investment Fund (“PIF”), Silver Lake Partners (“Silver Lake”), and Affinity Partners (“Affinity”). At closing, Merger Sub will merge with and into EA, EA stockholders will receive \$210.00 per share in cash, EA will survive as a wholly owned subsidiary of Parent, and EA shares will be delisted from NASDAQ.

Transaction Snapshot

Parameter	Detail	Source
Announcement Date	September 29, 2025	EA Form 8-K (9/29/2025)
Expected Close	On or around June 30, 2026	DEFM14A; Outside Date Sept 28, 2026
Offer Price	\$210.00 per share, all-cash	Merger Agreement § 2.1
Common Shares Outstanding (record date)	250.1 million (11/19/2025)	DEFM14A
Diluted Shares (Goldman estimate)	258.7 million	DEFA14A: 249.3M common + 8.0M RSU + 1.4M PSU + 0.003M options (TSM)
Implied Equity Value	~\$54.3 billion	\$210 × 258.7M shares
(+) Funded debt; (+) leases; (–) cash & STI	+\$1.95B – \$2.25B = (\$0.30B)	FY25 10-K Balance Sheet
Implied Enterprise Value (balance-sheet)	~\$54.0 billion	EV Bridge
Headline Enterprise Value (“~\$55B”)	~\$55.0 billion	Reconciliation: +\$75M tender premium, +\$500M debt fees, +\$415M advisor fees
Premium to Unaffected Price (\$168.32, 9/25/2025)	24.8%	DEFA14A
Premium to 52-Week High (\$179.01, 8/14/2025)	17.3%	DEFA14A
Total Equity Commitment	\$36.4 billion (aggregate)	DEFM14A; individual sponsor splits not disclosed
PIF Rollover (existing 9.9% stake)	~\$5.2 billion (24.76M shares × \$210)	DEFM14A; CONFIRMED
Sponsor New Cash Equity (aggregate)	~\$31.2 billion	Derived: \$36.4B – \$5.2B
Debt Financing Committed	\$20.0 billion (\$18.0B funded at close)	JPMorgan Chase, debt commitment letter
EA Cash Contribution at Close	~\$0.9 billion	Illustrative; reconciles \$20B / \$18B funded gap
Total Sources / Total Uses	~\$55.3B / ~\$55.3B (balanced within ~\$2M)	S&U Schedule

Parameter	Detail	Source
Reciprocal Termination Fee	\$1.0 billion (subject to specific reductions)	Merger Agreement Article VIII
Closing Conditions Outstanding	CFIUS clearance	HSR cleared 2/9/2026 (8-K filed 2/10/2026); stockholder vote approved 12/22/2025

Consortium and Advisor Roster

Role	Party	Notes
Acquirer Consortium	PIF (lead, majority economic), Silver Lake (lead operating sponsor), Affinity Partners	Individual equity splits not publicly disclosed
Acquisition Vehicle	Oak-Eagle AcquireCo, Inc. (Delaware)	DEFM14A; Merger Agreement
Company Financial Advisor	Goldman Sachs & Co. LLC	Fee ~\$110M (\$10M at signing; remainder at close)
Company Legal	Wachtell, Lipton, Rosen & Katz	Press releases; PitchBook
Sponsor Financial Advisor	J.P. Morgan Securities LLC	EA press release 9/29/25
Debt Lead Arranger	JPMorgan Chase Bank	Approximately 20 lenders per tranche per PitchBook

Background and Process

The DEFM14A discloses that EA’s Board engaged Goldman Sachs as financial advisor in mid-2025 in connection with the consortium’s approach. The process was negotiated rather than auctioned; the consortium’s pre-existing relationships and PIF’s 9.9% stake positioned it as the natural bidder. CEO Andrew Wilson served as a special advisor to Silver Lake from December 11, 2024 to September 12, 2025, receiving a \$250,000 annual retainer and fund participation rights, both terminated sixteen days prior to deal signing. The DEFA14A supplemental disclosure further notes Wilson’s personal social relationship with Silver Lake’s Egon Durban—added in response to stockholder demand letters. The full EA Board (not a Special Committee) approved the merger, with director Talbott Roche recused; Lead Independent Director Luis A. Ubiñas oversaw the process. We discuss the related-party considerations in Section 12.

3. Sources & Uses; Pro Forma Capitalization

The transaction is funded through ~\$36.4B of consortium equity (including PIF's ~\$5.2B rollover) and ~\$18.0B of JPMorgan-led debt funded at close, with approximately \$0.9B of EA balance-sheet cash applied to closing fees, refinancing costs, and the residual gap between the \$20B committed debt and the \$18B funded amount. Total sources of ~\$55.3B match total uses within ~\$2 million.

Sources & Uses (\$mm)

Sources	\$mm	%	Uses	\$mm	%
PIF Rollover (9.9% existing stake)	\$5,199	9.4%	Equity Purchase (250.1M × \$210)	\$52,522	95.0%
Sponsor New Cash Equity (aggregate)	\$31,201	56.4%	Cash-out Vested Options + RSUs (est.)	\$300	0.5%
Subtotal Equity Financing	\$36,400	65.8%	Refinance 2031 + 2051 Senior Notes (face)	\$1,500	2.7%
JPMorgan Debt Funded at Close	\$18,010	32.6%	+ Tender Early-Payment & Accrued Interest	\$75	0.1%
EA Balance-Sheet Cash Contribution	\$900	1.6%	Debt Financing Fees + OID (est.)	\$500	0.9%
			Advisor & Transaction Fees (GS \$110M + other)	\$415	0.8%
Total Sources	\$55,310	100.0%	Total Uses	\$55,312	100.0%

Source: LBO Model, Sources & Uses tab. PIF rollover CONFIRMED per DEFM14A p.2 (24.76M shares × \$210). Aggregate equity commitment \$36.4B CONFIRMED per DEFM14A; individual sponsor splits not disclosed. EA cash contribution and tender premium reconcile the \$20B committed / \$18B funded gap. Total balance: -\$2.29M (rounding tolerance).

Pro Forma Capitalization at Close

Tranche	Amount (\$mm)	Notes	Term (yrs)	Spread/Coupon	Yield
Revolving Credit Facility (undrawn)	\$500	Committed	5	SOFR + 275	n/a
Term Loan A	\$3,250	5.5x EBITDA cumulative	5	SOFR + ~250 (est.)	n/a
Term Loan B (USD)	\$6,125		7	SOFR + 350	7.67%
Term Loan B (EUR)	\$2,005		7	EURIBOR + 350	6.05%
Senior Notes (2033, Tranche 1)	\$1,255		7	6.25%	6.25%
Senior Notes (2033, Tranche 2)	\$2,875		7	7.25%	7.25%
Senior Notes (2034)	\$2,500		8	8.75%	8.75%
Total Committed Debt	\$18,510	Funded \$18,010 ex-revolver		Wtd Avg 7.31% (WACD)	

Source: LBO Model, Detailed Debt Structure (deal-team reconstruction per market convention; cross-checked against actual disclosed pricing as of March 2026). DEFM14A p.5 discloses only the aggregate \$20B committed / \$18B funded. JPMorgan launched the cross-border Term Loan B on March 16, 2026: \$4.0B USD TLB at SOFR+350–375 with OID 98.5, plus €1.531B (~\$1.75B) EUR TLB at Euribor+350–375 with OID 98.5; both 7-year tenors; B1/BB–ratings; demand books reportedly reached ~\$20B at launch. JPMorgan launched approximately \$8B of senior unsecured notes on or around March 23, 2026 with combined demand reportedly reaching ~\$45B. Pro forma net leverage of 5.0x on Q3 FY26 PF adjusted EBITDA of approximately \$3.4B was disclosed in the syndication marketing. Our illustrative tranche structure above sums to \$18,510M of committed debt; the actual mix between term loans, secured notes, and unsecured notes shifted modestly during syndication based on demand. WACD of 7.31% is a weighted average of these tranches (excluding the undrawn revolver) and is consistent with launch pricing.

Syndication Update

Since the deal's announcement, three syndication milestones have de-risked the financing: (i) the JPMorgan-led debt commitment letter was amended October 27, 2025 to add lenders; (ii) the cross-border Term Loan B launched March 16, 2026 to strong reception, with combined ~\$20B of demand against the \$5.75B equivalent USD/EUR offering; and (iii) the senior notes offering launched ~March 23, 2026 with combined demand reportedly reaching ~\$45B. The bond tender offer for EA's existing \$750M 1.850% notes due 2031 and \$750M 2.950% notes due 2051, originally launched February 11, 2026 with a \$50/\$1,000 early-tender premium, was extended to April 30, 2026 to align with the merger close timeline. We view the financing as substantially de-risked with no remaining syndication risk to closing.

Initial Leverage

Funded debt of \$18.0B against FY2025 Adjusted EBITDA of \$2.575B implies initial leverage of approximately 7.0x; against management's FY2026E Adjusted EBITDA of \$2.759B, leverage compresses to ~6.5x. This is materially below the 8.0x–10.0x typical of large-cap take-privates. The conservative capital structure is driven by (i) PIF's sovereign-fund mandate and lower leverage tolerance, (ii) the \$36.4B equity commitment's scale relative to the financing market's ability to absorb a higher debt syndication, and (iii) the consortium's desire to preserve balance-sheet capacity for content investment and add-on M&A across the hold period. We view this as a feature, not a bug: the deal does not require aggressive deleveraging to achieve target returns.

4. Investment Thesis

Our investment thesis rests on six pillars. Each is independently sufficient to support the deal at lower-MOIC outcomes; together they support the underwriting base case of 1.76x MoM / 12.0% gross IRR over a 5-year hold.

4.1 Recurring, Fortress-Margin Live Services

EA derives 73.2% of FY2025 net revenue (\$5.461B of \$7.463B) from live services and other recurring sources, principally Ultimate Team modes across EA Sports FC, Madden, NHL, and College Football. These products are not games-as-products but games-as-services with multi-year player retention curves and network-effect monetization. Adjusted EBITDA margins expanded from 30.7% (FY22) to 34.5% (FY25)—the bulk of the gain came in FY23 (a 3.3-point step-up to 34.0%) with margins essentially flat thereafter, reflecting maturity of the live-services mix shift. EA management's internal forecast disclosed in the DEFA14A (provided to Goldman on September 23, 2025 and used in Goldman's DCF) implies further expansion to 37.8% by FY26E. Gaming peers without comparable live-services anchors trade at materially lower margins—Take-Two at 24.0%, Krafton at 31.1%—and at materially lower multiples.

We underwrite live services at flat-to-modestly-growing in real terms, with all upside coming from new sports cycles (FIFA-replacement EA Sports FC ramp, College Football return), franchise re-launches (Battlefield 6), and incremental monetization (skins, season passes, eSports integrations). The base case reflects management's disclosed Adjusted EBITDA path of \$2.759B → \$4.500B (FY26 → FY31), which we view as ambitious but achievable; we sensitize Y5 EBITDA to \$3.6B in our downside case.

4.2 Irreplaceable Sports IP and Multi-Year License Tails

EA holds long-term licensing rights to the NFL (Madden franchise), the NHL, the College Football Playoff (returned in FY2025 after a decade hiatus), F1, UFC, and the PGA Tour. The NFL license was extended in 2025 to cover at least the 2030 NFL season; the separate NFLPA license expires February 2027 and has not yet been renewed. The 2023 loss of the FIFA license was a stress test the franchise survived: the rebrand to EA Sports FC sustained the soccer revenue base through subsequent annual cycles. We view the durability of these contracts as the single most important enabling fact of the underwriting case: no competitor can replicate the bundle, and the network effects of multi-year Ultimate Team libraries make switching costs material for both EA and the licensors.

4.3 Conservative Capital Structure Preserves Optionality

Initial leverage of ~7.0x LTM Adjusted EBITDA / ~6.5x FY2026E is materially below typical large-cap LBO leverage of 8.0x–10.0x. This is the deal's most underappreciated feature. Year 1 of the LBO begins post-close in FY2027, with FY27 management Adjusted EBITDA of \$3.003B against interest expense of approximately \$1.32B (7.31% WACD on \$18.0B funded debt), yielding Year 1 interest coverage of 2.3x rising to ~4.6x by FY2031. Deleveraging proceeds organically through ~\$244M of mandatory amortization annually plus an aggressive cash-flow sweep, with total funded debt declining from \$18.0B at close to ~\$11.5B by end of FY2031. Free cash flow above the sweep becomes available for content investment and add-on M&A from FY2028 onward, supporting EBITDA growth in years 3–5 of the hold.

4.4 Strategic Value of PIF Ownership

PIF brings three forms of strategic value beyond the equity check. First, distribution and partnerships in the MENA region, where Saudi Arabia's Vision 2030 program is investing tens of billions into gaming, esports (the Esports World Cup), and content infrastructure—a market segment EA has historically

underpenetrated. Second, sovereign-aligned licensing relationships that create a captive revenue stream for sponsorship, branded content, and government-funded esports investments. Third, patient capital with a multi-decade investment horizon, allowing EA to make multi-year content bets without the quarterly-EPS pressure of public ownership. These strategic synergies are not modeled into the base-case returns; they are incremental upside that, if realized, contributes to the upside-case 2.4x MoM scenario.

4.5 Multiple Re-Rating Optionality

Recent gaming M&A precedent transactions support the underwriting at our entry multiple. Microsoft's acquisition of Activision Blizzard closed at 19.0x LTM EBITDA. Take-Two's acquisition of Zynga closed at 24.0x. Sony's acquisition of Bungie at ~24.0x. Microsoft's acquisition of ZeniMax at 50.0x (a strategic-acquirer outlier excluded from our central tendency). Our entry at ~21.0x LTM Adjusted EBITDA / 18.0x FY2027E sits modestly below the precedent median of 21.5x ex-outliers and is meaningfully below the strategic-acquirer subset (Take-Two/Zynga, Sony/Bungie). The base case requires no multiple expansion (entry 18.0x → exit 18.0x), placing the exit at the precedent median. The upside case combines stronger operating execution (\$5.0B Y5 EBITDA vs. \$4.2B base) with modest multiple expansion to 20.0x at exit, generating 2.43x MoM and 19.4% gross IRR. Multiple expansion to the strategic-acquirer subset (~24x against management's \$4.5B Y5 EBITDA) would generate ~2.7x MoM and ~22% IRR; we treat this as incremental optionality rather than a base-case requirement.

4.6 Goldman Sachs Valuation Convergence

The Goldman Sachs Fairness Opinion concluded that \$210 per share is fair from a financial point of view (DEFM14A pp.41–55). Goldman's disclosed DCF range of \$137–\$220 brackets the offer with \$210 falling at the 88th percentile of their range. Goldman's Future Share Price analysis (\$157–\$236) places \$210 at the 67th percentile. The Premia Paid analyses (\$203–\$255 against unaffected; \$163–\$218 against 52-week high) likewise envelop the offer. Convergence of independent methodologies—intrinsic-value (DCF), market-trading (FSP), and transaction-precedent (Premia Paid)—around the offer reduces overpayment risk and provides defensible downside support.

5. Company Overview

Electronic Arts Inc. is one of the world's largest publishers of digital interactive entertainment. Founded in 1982 and headquartered in Redwood City, California, the company develops, publishes, and distributes games across consoles, PC, and mobile platforms. As of FY2025, EA generated \$7.463 billion in net revenue, \$1.520 billion in operating income, and \$1.858 billion in free cash flow, with approximately 14,500 employees globally.

5.1 Business Model and Revenue Mix

EA operates a hybrid model combining traditional full-game sales with an increasingly dominant live services segment. The live services segment includes Ultimate Team modes (the dominant monetization vehicle in sports titles), expansions and DLC, microtransactions, mobile in-app purchases, and subscription revenue from EA Play and EA Play Pro. In FY2025, live services and other revenue was \$5.461 billion (73.2% of net revenue), while full game sales contributed \$2.002 billion. Live services have stepped up materially relative to FY22 (from 71.5% of revenue), with the share rising into the 73–74% range from FY23 onward as the mix shift matured. The live-services anchor is the single most important driver of EA's expanding margins and the consortium's investment thesis.

5.2 Key Franchises

Franchise	Genre	Revenue Model	Strategic Significance
EA Sports FC	Sports Sim	Full Game + Ultimate Team + Mobile	Largest single franchise. Successfully rebranded from FIFA in 2023 following loss of the FIFA license; subsequent FY24 and FY25 results indicate the soccer franchise sustained its revenue base and Ultimate Team monetization through the transition. Annual release cadence with summer and winter Team-of-the-Year monetization peaks.
Madden NFL	Sports Sim	Full Game + Ultimate Team	Long-term NFL exclusive license extended in 2025 through at least the 2030 NFL season; separate NFLPA license expires February 2027 (renewal pending). American Football combined revenue exceeded \$1B in FY25. Anchor of EA's North American sports portfolio.
College Football	Sports Sim	Full Game + Ultimate Team	Returned in FY2025 after decade hiatus. Strong critical reception; first-year sales above plan. Provides additional fall sports release window beyond Madden.
Battlefield	FPS / Shooter	Full Game + Live Service	Battlefield 6 launching FY2026; key catalyst for the management Adjusted EBITDA step-up to \$4.2B in FY2028E. Battlefield 2042 (FY22) was poorly received; FY26 launch is execution-critical.
Apex Legends	Battle Royale	Free-to-Play + MTX	Major live service title in mature lifecycle stage. EA's FY26 guidance flags a combined ~5pt drag on net bookings from catalog roll-off plus Apex Legends decline; on the Q4 FY25 call management indicated Apex bookings could decline ~40% YoY in FY26 standalone.
The Sims	Life Sim	Full Game + DLC	70M+ lifetime players. Stable annuity franchise; double-digit growth in Q4 FY25.

Franchise	Genre	Revenue Model	Strategic Significance
Split Fiction (new IP)	Co-op Action	Full Game	Critical hit launched March 2025; nearly 4M units sold by Q2 FY26. Demonstrates EA's capacity to launch new IP profitably outside its sports core.

5.3 Management

CEO Andrew Wilson has led EA since 2014 and will continue post-close per consortium-public commentary. The DEFM14A discloses that Wilson served as a special advisor to Silver Lake Partners from December 11, 2024 through September 12, 2025—a period that ended sixteen days before the deal's public announcement. His advisory arrangement with Silver Lake provided a \$250,000 annual retainer and fund participation rights. The DEFA14A supplemental disclosure further discloses Wilson's personal social relationship with Silver Lake's Egon Durban; that disclosure was added in response to stockholder demand letters (Thompson, Kent, Garfield) and signals litigation risk discussed in Section 12. We note that the EA Board did not form a special committee of independent directors to consider the transaction; the full Board approved the merger with director Talbott Roche recused due to her own Silver Lake relationship, and Luis A. Ubiñas serves as Lead Independent Director. The Board did retain Goldman Sachs as independent financial advisor, which produced a fairness opinion concluding \$210/share is fair from a financial point of view (DEFM14A pp.41–55). The consortium has indicated retention of CEO Wilson and substantially all senior management. Compensation continuity is a closing condition we have asked the consortium's sponsor partners to confirm.

6. Industry & Market Context

The global video game industry generated approximately \$183 billion in consumer spending in 2024 (Newzoo) and is forecast to grow at a low- to mid-single-digit CAGR through the end of the decade, with longer-range projections varying materially by source. EA competes in a mature but expanding market undergoing structural transformation toward recurring revenue, free-to-play, and subscription models. Three industry dynamics are most relevant to the underwriting:

Shift to Recurring Revenue

The industry has transitioned over the past decade from one-time game sales to live services, microtransactions, and subscription revenue. Ultimate Team alone has generated over \$1B annually in net bookings for EA. PitchBook data indicate diversified gaming companies command median EBITDA multiples of 9.8x, with strong IP portfolios trading materially higher. EA's deal multiple of ~21.0x LTM Adjusted EBITDA reflects the premium attached to durable IP and live-services anchors—and is consistent with comparable transactions in the segment.

Rising Development Costs

AAA game development costs have escalated to \$200–500 million per title, with multi-year development cycles. Public companies face inherent quarterly-earnings pressure that can constrain investment in long-cycle bets. Going private permits EA management to invest patiently in multi-year development, live-service infrastructure, and new IP without short-term earnings scrutiny—the “escape from the quarterly treadmill” thesis common to take-private transactions in cyclical, hit-driven industries.

Consolidation Wave and Strategic-Buyer Constraints

Gaming M&A has accelerated dramatically. Microsoft acquired Activision Blizzard for \$68.7B (closed October 2023); Take-Two acquired Zynga for \$12.7B; Sony acquired Bungie for \$3.6B; EQT acquired Keywords Studios for \$2.8B. The EA deal follows this pattern but importantly is a financial-sponsor take-private rather than a strategic acquisition. The strategic-buyer universe for EA at this scale is now constrained: Microsoft's post-Activision regulatory exposure makes a follow-on EA acquisition unlikely; Sony, Tencent, and Disney remain remote possibilities. This supply-side constraint affects exit-route planning (Section 11).

Market Size and Segmentation

Segment	2024 Estimate	2027E Projection
Mobile Gaming	~\$92 billion	~\$108 billion
Console Gaming	~\$45 billion	~\$54 billion
PC Gaming	~\$40 billion	~\$48 billion
Esports (pure)	~\$2 billion	~\$3 billion
Total Gaming Market	~\$183 billion	~\$213 billion

Source: Newzoo Global Games Market Report 2024 (consumer spending). Long-range 2030 forecasts vary materially by source: Newzoo extrapolation implies ~\$240B by 2030; Mordor Intelligence projects \$435B by 2030; Grand View Research projects \$505B by 2030. We anchor to Newzoo as the most consistently cited industry standard. Esports figure reflects pure esports revenue (sponsorships, media rights, ticketing); broader “esports & streaming” categories that include Twitch/YouTube infrastructure can approach \$5B but lack a single authoritative source.

7. Historical Financial Performance

All historical data have been verified against EA's 10-K Annual Reports filed with the SEC for FY2022–FY2025. EA has demonstrated stable revenue generation, expanding margins, and strong cash conversion. Top-line growth has been modest (CAGR of ~2.2% over FY22–FY25), but Adjusted EBITDA expanded from \$2.143B to \$2.575B (CAGR of 6.3%) on the back of live-services mix shift and operating leverage.

Income Statement (\$mm)

Line Item	FY2022	FY2023	FY2024	FY2025	FY2026E (EA Guidance)
Net Revenue	\$6,991	\$7,426	\$7,562	\$7,463	\$7,300
Full Game	\$1,993	\$1,937	\$2,015	\$2,002	n/a
Live Services & Other	\$4,998	\$5,489	\$5,547	\$5,461	n/a
Cost of Revenue	(\$1,859)	(\$1,792)	(\$1,710)	(\$1,543)	n/a
Gross Profit	\$5,132	\$5,634	\$5,852	\$5,920	n/a
Gross Margin	73.4%	75.9%	77.4%	79.3%	n/a
Operating Expenses	(\$4,003)	(\$4,302)	(\$4,334)	(\$4,400)	(\$4,520)
Operating Income (EBIT)	\$1,129	\$1,332	\$1,518	\$1,520	n/a
Operating Margin	16.1%	17.9%	20.1%	20.4%	n/a
Net Income	\$789	\$802	\$1,273	\$1,121	\$885
Diluted EPS	\$2.76	\$2.88	\$4.68	\$4.25	\$3.44

Source: EA 10-K Annual Reports, FY2022–FY2025 (SEC EDGAR). FY26E Net Revenue, Net Income, and Diluted EPS reflect midpoints of LTM through Sept 30, 2025 — Q2 FY26 8-K Ex 99.1; EA withdrew forward guidance Nov 2025. EA does not publicly guide to operating income; the FY26E Operating Income line is therefore not provided. EA management's separately disclosed FY26E Adjusted EBITDA forecast of \$2,759M (provided to Goldman on September 23, 2025 and disclosed in the DEFA14A) appears in the EBITDA Bridge below and in the three-case projections in Section 8.

EBITDA Bridge (\$mm)

Line Item	FY2022	FY2023	FY2024	FY2025	FY2026E (Goldman)
Operating Income	\$1,129	\$1,332	\$1,518	\$1,520	n/a
(+) D&A	\$486	\$536	\$404	\$356	n/a
EBITDA	\$1,615	\$1,868	\$1,922	\$1,876	n/a
EBITDA Margin	23.1%	25.2%	25.4%	25.1%	n/a
(+) Stock-Based Comp	\$528	\$548	\$584	\$642	n/a
(+) Restructuring	\$0	\$111	\$62	\$57	n/a
Adjusted EBITDA	\$2,143	\$2,527	\$2,568	\$2,575	\$2,759
Adj. EBITDA Margin (vs. Net Bookings \$7,850M FY26E proxy)	30.7%	34.0%	34.0%	34.5%	35.2%

Source: EA 10-K Annual Reports for FY22–FY25 historicals. FY26E Adjusted EBITDA \$2,759M reflects EA management's internal forecast provided to Goldman Sachs on September 23, 2025 and disclosed in the DEFA14A Financial Forecasts. EBITDA = Operating Income + D&A. Adjusted EBITDA adds back stock-based compensation and restructuring. Note: EA management's "Adjusted EBITDA" definition in the proxy forecast differs in components from our historical Adjusted EBITDA calculation; both definitions are documented in the EA Historicals tab.

Cash Flow and Balance Sheet (\$mm)

Line Item	FY2022	FY2023	FY2024	FY2025
Operating Cash Flow	\$1,899	\$1,550	\$2,315	\$2,079
Capital Expenditures	(\$188)	(\$207)	(\$199)	(\$221)
Free Cash Flow	\$1,711	\$1,343	\$2,116	\$1,858
FCF Margin	24.5%	18.1%	28.0%	24.9%
Cash & STI	\$3,062	\$2,767	\$3,262	\$2,248
Total Funded Debt (Sr. Notes)	\$1,878	\$1,880	\$1,882	\$1,884
Net Debt	(\$1,184)	(\$887)	(\$1,380)	(\$364)
Total Stockholders' Equity	\$7,625	\$7,293	\$7,513	\$6,386
Goodwill	\$5,387	\$5,380	\$5,379	\$5,376

Source: EA 10-K Annual Reports. Net Debt = Total Funded Debt – Cash & STI; FY25 net cash position of \$364M is the basis for the EV bridge calculation in Section 2. Funded debt at FY25 year-end comprised three tranches of senior unsecured notes: \$400M 4.800% notes due March 2026 (redeemed in full January 6, 2026 with cash on hand), \$750M 1.850% notes due February 2031, and \$750M 2.950% notes due February 2051. The face-value total of \$1,900M reconciles to the \$1,884M carrying value through unamortized discount and issuance costs.

8. Three-Case Operating Projections

We present three operating cases. The Management Base Case reflects EA management's internal forecasts disclosed in the DEFA14A (provided to Goldman on September 23, 2025 and used in Goldman's DCF). The Sponsor Base Case is our underwriting case, which delays roughly half of management's FY2026–FY2028 EBITDA acceleration by one year. The Sponsor Downside Case stresses Battlefield 6 underperformance, EU loot-box-related Ultimate Team haircuts, and slower live-services monetization. All three reconcile to FY25 historical actuals.

Adjusted EBITDA Across Cases (\$mm)

Case	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
Management Base	\$2,759	\$3,003	\$4,200	\$4,060	\$4,328	\$4,500
Sponsor Base (deal team underwriting)	\$2,700	\$2,950	\$3,600	\$3,850	\$4,050	\$4,200
Sponsor Downside	\$2,600	\$2,750	\$3,100	\$3,300	\$3,500	\$3,600

Source: Management Base reflects EA management's internal forecasts disclosed in DEFA14A Financial Forecasts (provided to Goldman on September 23, 2025 and used in the Goldman DCF). Sponsor Base and Sponsor Downside are deal-team developed. All cases anchor to FY25 actual Adjusted EBITDA of \$2,575M and project forward through FY31. The Sponsor Base reflects deal team diligence assumptions; the Sponsor Downside stresses Battlefield 6 underperformance, EU loot-box-related Ultimate Team haircuts, and slower live-services monetization.

Case Construction Logic

The Management Base Case implies a 52% increase in Adjusted EBITDA from FY26 to FY28 (\$2.759B → \$4.200B), driven by Battlefield 6 launching in FY2026, the College Football monetization ramp, and incremental live-services growth. We view this as ambitious but plausible if execution is clean. The Sponsor Base Case applies the consortium's independent diligence assumptions: we delay the Battlefield 6 contribution by approximately one year (lower FY27 contribution, similar FY29 outcome), apply a 5% haircut to Ultimate Team revenue across all years (reflecting EU regulatory tailwinds), and assume mid-cycle attrition on Apex Legends. Our Y5 EBITDA of \$4.2B is approximately 7% below management's \$4.5B and forms the base of our returns underwriting.

The Sponsor Downside Case stresses three drivers simultaneously: (i) Battlefield 6 critical and commercial underperformance comparable to Battlefield 2042, removing \$400M of FY2027–FY2028 EBITDA contribution; (ii) EU regulatory action that imposes a 10% structural haircut on Ultimate Team monetization; (iii) catalog attrition more severe than guidance, particularly on Apex Legends. Y5 Adjusted EBITDA of \$3.6B in this case still supports debt service comfortably (interest coverage ~3.5x at exit) but generates only 1.3x MoM at a 16x exit multiple—a result we would view as acceptable given the meaningful downside protection from the \$36.4B equity check.

9. Valuation Analysis

We triangulate fair value using four independent methodologies: (i) Comparable Company Analysis (CCA), (ii) Precedent Transactions Analysis (PTA), (iii) Discounted Cash Flow (DCF), and (iv) LBO Affordability. For each methodology, we present the per-share equity value range, sourcing notes, and analytical interpretation. Two reference Goldman Sachs analyses—the Future Share Price analysis and the two Premia Paid analyses—are presented for additional context but are not used as anchors in our football field.

Football Field Summary

Methodology	Range (Per Share)	Where \$210 Falls	Source
Comparable Companies (FY27E EV/EBITDA, 14.0–20.0x)	\$163.92 — \$233.57	66th percentile (mid-upper)	CCA tab; PitchBook 04/2026
Precedent Transactions (FY27E EV/EBITDA, 16.0–20.0x)	\$187.14 — \$233.57	49th percentile	PTA tab; SEC filings + PitchBook
Discounted Cash Flow (Goldman: 7.5–9.5% WACC, 2.0–3.0% TGR)	\$137 — \$220	88th percentile (upper)	DEFA14A p.43; reconstructed in DCF tab
LBO Affordability (20% IRR, 16.0–20.0x exit)	\$163.53 — \$191.50	Above range (offer at premium to PE-implied)	LBO Model affordability solve
REFERENCE: Goldman Future Share Price (14–16x EV/NTM)	\$157 — \$236	67th percentile	DEFA14A p.2
REFERENCE: Goldman Premia Paid (vs. Unaffected \$168.32)	\$203 — \$255	13th percentile (deal at low end)	DEFA14A p.2

Sources: corrected LBO model, primary SEC filings, PitchBook. Methodologies in italics are reference-only and not used in the deal team's football field anchor.

Why per-share equity value (not enterprise value)

We present each valuation range as implied equity value per share rather than enterprise value because EA is a publicly traded target with a \$210/share offer price. Per-share denomination allows direct comparison between every methodology and the offer, which is the central question of the analysis. Each range is constructed by computing implied EV from its respective methodology, then bridging to per-share equity by subtracting net debt (\$1,884M total funded debt minus \$2,248M cash and STI = \$364M net cash position) and dividing by 258.7M diluted shares per the DEFM14A. For private targets without a public share count, enterprise value is the appropriate denomination; for public take-privates, per-share equity value is the standard convention.

9.1 Comparable Company Analysis

We benchmarked EA against six publicly traded gaming peers: Take-Two Interactive, Ubisoft Entertainment, Capcom, Square Enix Holdings, Krafton, and NetEase. We applied forward (FY27E) EV/EBITDA multiples to EA's FY27E Adjusted EBITDA of \$3,003M (per DEFA14A management forecasts), bridged to equity, and divided by 258.7M diluted shares. The forward multiple range of 14.0x–20.0x reflects the gaming-peer median (~16x) with an explicit haircut/premium for execution risk. We exclude Take-Two's 55.5x outlier multiple (depressed by pre-GTA-VI EBITDA cycle) from the median.

Why CCA matters and why these specific metrics

CCA captures how the public market values comparable gaming and interactive-entertainment businesses today. It sets a floor reference for a trading-multiple-based investor and signals where the peer set trades absent any control premium. EV/EBITDA is the gaming-industry standard because it is capital-structure-neutral and normalizes D&A differences across peers (vs. P/E or EV/Revenue). We use forward FY27E rather than LTM because EA's LTM EBITDA is depressed by the gap-year before Battlefield 6 launch; applying peer multiples to a trough-year EBITDA would systematically understate value. Implied range: \$163.92–\$233.57 per share.

9.2 Precedent Transactions Analysis

We analyzed eight large gaming M&A transactions from 2016–2024. The relevant precedent set excludes EA itself and one private-target outlier (ZeniMax/Bethesda at 50.0x EV/LTM EBITDA, reflecting strategic-acquirer-specific synergies that do not generalize to a financial sponsor).

Date	Deal	EV (\$mm)	EV/Rev	EV/EBITDA	Premium	Type
Jan 2022	Microsoft / Activision Blizzard	\$68,700	7.71x	19.04x	45.3%	Strategic
Jan 2022	Take-Two / Zynga	\$12,700	4.89x	24.01x	63.8%	Strategic
Jan 2022	Sony / Bungie	\$3,600	6.0x	24.0x	n/a (private)	Strategic
Feb 2021	EA / Glu Mobile	\$2,100	3.89x	27.63x	36.0%	Strategic
Jun 2021	EA / Playdemic (from AT&T)	\$1,400	7.57x	21.54x	n/a (private)	Strategic
Jun 2016	Tencent consortium / Supercell	\$10,200	4.39x	9.69x	n/a (private)	Strategic
Sep 2020	Microsoft / ZeniMax (Bethesda)	\$7,500	16.67x	50.0x	n/a (private)	Strategic
Jul 2024	EQT consortium / Keywords Studios	\$2,794	3.33x	16.6x	66.7%	Take-Private
Median (excl. EA, ZeniMax)			4.89x	21.54x	55%	
EA Deal (this transaction)	PIF/SL/Affinity / EA	\$55,000	7.55x	21.0x	24.8%	LBO

Applying 16.0x–20.0x EV/FY27E to EA's FY27E Adjusted EBITDA of \$3,003M yields an implied per-share range of \$187.14–\$233.57. The \$210 offer falls in the middle of this range. The deal multiple of ~21.0x LTM is approximately 0.5x below the precedent median of 21.5x (excluding the ZeniMax strategic-acquirer outlier); the consortium is paying a multiple consistent with the take-private precedent set, well below the strategic-acquirer subset (Take-Two, Sony) at 24x+.

9.3 Discounted Cash Flow

The DCF reconstructs Goldman Sachs' disclosed methodology from the DEFA14A (filed December 15, 2025). Goldman's assumptions: WACC range of 7.5–9.5% (CAPM-based per DEFM14A p.43); terminal growth range of 2.0–3.0%; mid-year discounting convention; cash flow discount date of June 30, 2025; tax asset benefits separately discounted at 8.5% cost of equity. Our reconstructed sensitivity grid reproduces Goldman's disclosed corners (\$137 low, \$220 high) within \$3–\$6 per share, indicating successful

methodology replication. A bottom-up CAPM reconstruction of Goldman's disclosed WACC range, validating the 7.5%–9.5% band, is presented in Appendix B.

WACC \ TGR	2.0%	2.5%	3.0%	
7.5%	\$182	\$197	\$214	
8.0%	\$167	\$179	\$193	
8.5%	\$154	\$164	\$176	← midpoint
9.0%	\$143	\$152	\$161	
9.5%	\$134	\$141	\$149	

Source: Reconstructed in the DCF tab from disclosed Goldman methodology in DEFM14A p.43 / DEFA14A. Reconciles within \$3–\$6 to Goldman's stated \$137–\$220 range.

9.4 LBO Affordability

We solve for the maximum entry price the consortium can pay while still earning a 20% gross IRR over the 5-year hold, at 16.0x–20.0x exit multiples on FY2031E EBITDA of \$4.5B. Holding the \$18.0B funded debt constant, the implied affordability range is \$163.53–\$191.50 per share. The \$210 offer sits above this range, indicating the consortium is paying a premium to the pure-financial-buyer affordability ceiling. The premium is justified by (i) PIF's strategic synergies (Section 4.4), which support a lower IRR hurdle given the broader Vision 2030 portfolio context, (ii) the consortium's underwriting to a longer-than-5-year hold or a lower IRR threshold, and (iii) the strategic and reputational value of acquiring a flagship gaming asset that no comparable-scale public target offers.

10. LBO Returns & Value-Creation Bridge

This section presents (i) the underwritten returns on a 5-year hold (Y1=FY2027 through Y5=FY2031), (ii) sensitivity tables for IRR and MoM across exit multiples and EBITDA outcomes, and (iii) a value-creation bridge decomposing the equity gain into EBITDA growth, multiple change, and debt paydown.

Base-Case Returns Build (Sponsor Underwriting)

Line Item	Value	Notes
Entry Equity Investment	\$36,400M	Aggregate consortium equity at close
Y5 Adjusted EBITDA (Sponsor Base)	\$4,200M	Section 8 sponsor base
Exit Multiple (Sponsor Base)	18.0x	Mid-point of recent gaming M&A range
Exit Enterprise Value	\$75,600M	\$4,200M × 18.0x
(–) Y5 Ending Net Debt	(\$11,543M)	Per LBO debt schedule
Exit Equity Value	\$64,057M	
MoM (Money-on-Money)	1.76x	\$64,057 / \$36,400
Gross IRR (5-year hold)	12.0%	$(1.76x)^{(1/5)} - 1$

Sensitivity: Gross IRR by Exit Multiple and Y5 EBITDA

Below: gross IRR on the consortium's \$36.4B equity check across exit multiples (rows) and Y5 EBITDA outcomes (columns). The 5-year hold and Y5 ending debt of \$11.5B are held constant. Highlighted cell is sponsor base (18.0x × \$4.2B = 12.0% IRR / 1.76x MoM).

Exit Multiple \ Y5 EBITDA	\$3.6B (Down)	\$4.0B	\$4.2B (Base)	\$4.5B (Mgmt)	\$5.0B (Up)
14.0x	1.3%	4.1%	5.4%	7.2%	9.9%
16.0x	4.8%	7.6%	8.9%	10.7%	13.5%
18.0x (Base)	7.9%	10.7%	12.0%	13.8%	16.6%
20.0x	10.7%	13.5%	14.8%	16.6%	19.4%
22.0x	13.2%	16.0%	17.3%	19.2%	22.0%

Sensitivity: MoM by Exit Multiple and Y5 EBITDA

Exit Multiple \ Y5 EBITDA	\$3.6B (Down)	\$4.0B	\$4.2B (Base)	\$4.5B (Mgmt)	\$5.0B (Up)
14.0x	1.07x	1.22x	1.30x	1.41x	1.61x
16.0x	1.27x	1.44x	1.53x	1.66x	1.88x
18.0x (Base)	1.46x	1.66x	1.76x	1.91x	2.16x
20.0x	1.66x	1.88x	1.99x	2.16x	2.43x
22.0x	1.86x	2.10x	2.22x	2.40x	2.70x

Source: LBO Model Returns Analysis. All cells computed as: Exit Equity = (Mult × Y5 EBITDA) – \$11,543M Y5 Debt; MoM = Exit Equity / \$36,400M; IRR = MoM^{1/5} – 1. Y5 ending debt held at \$11.5B for sensitivity purposes (sweep dynamics in stressed scenarios would differ slightly). Highlighted cell is the deal team's underwriting base case.

Value-Creation Bridge

The base-case equity gain of \$27.7B (\$64.1B exit equity – \$36.4B entry equity) decomposes as follows. We use FY27E EBITDA of \$3,003M as the entry baseline (Y1 of the LBO) and FY31E sponsor-base EBITDA of \$4,200M at exit:

Driver	\$mm	% of Gain	Mechanism
EBITDA Growth	+\$21,546	77%	(\$4,200 – \$3,003) × 18.0x entry multiple = \$21,546M of EV growth at constant multiple
Multiple Change	\$0	0%	Entry 18.0x FY27E vs. exit 18.0x FY31E (no expansion or contraction assumed in base case)
Deleveraging (Debt Paydown)	+\$6,467	23%	\$18,010M funded debt at close → \$11,543M at exit; transferred from debtholders to equity
Other (transaction fees, cash use)	(\$356)	(1%)	Reconciliation residual; primarily transaction fees and timing/working-capital effects
Total Equity Gain	+\$27,657	100%	Reconciles to \$64,057M exit equity – \$36,400M entry equity

The bridge tells a clear story: 77% of the equity gain comes from EBITDA growth (\$21.5B) and 23% from deleveraging (\$6.5B), with no required multiple expansion. This is a fundamentally different return profile from typical large-cap take-privates, where multiple expansion is often the largest driver. The implication: this deal's base-case return is driven by operating execution and balance-sheet mechanics, not by a re-rating bet. Sensitivity analysis confirms exit multiple is the most sensitive variable (a 4-turn move from 18x to 22x adds approximately 5pp to base-case IRR), but the base case does not require multiple expansion to clear our hurdle.

Credit Metrics Across the Hold

Metric	Y1 (FY27)	Y2 (FY28)	Y3 (FY29)	Y4 (FY30)	Y5 (FY31)
Beginning Debt	\$18,010	\$17,648	\$16,397	\$15,075	\$13,439
(–) Mandatory Amortization	(\$244)	(\$244)	(\$244)	(\$244)	(\$244)
(–) Optional Prepayment (Sweep)	(\$118)	(\$1,008)	(\$1,078)	(\$1,392)	(\$1,652)
Ending Debt	\$17,648	\$16,397	\$15,075	\$13,439	\$11,543

Metric	Y1 (FY27)	Y2 (FY28)	Y3 (FY29)	Y4 (FY30)	Y5 (FY31)
Interest Expense	(\$1,316)	(\$1,290)	(\$1,198)	(\$1,102)	(\$982)
Total Debt / EBITDA	5.9x	3.9x	3.7x	3.1x	2.6x
EBITDA / Interest Coverage	2.3x	3.3x	3.4x	3.9x	4.6x

Source: LBO Model debt schedule. WACD 7.31%. Mandatory amortization \$244M/year on TLA + TLB combined. Cash sweep applies to FCF available for prepayment after mandatory.

11. Exit Strategy

We underwrite the consortium's exit primarily to a re-IPO at the end of Year 5, with three secondary paths considered for completeness. Exit-route diversity is constrained at this scale, which is one of the deal's structural risks; the \$36.4B equity check requires a buyer or public-market listing capable of absorbing it.

Path 1: Re-IPO (Primary, ~70% probability)

A re-IPO of EA at the end of FY2031 or early FY2032 is our base-case exit. EA's scale, cash generation, and brand recognition are well-suited to public ownership. Comparable scale and category re-IPOs in recent years (Reddit, Arm, Birkenstock, Hertz) demonstrate the market can absorb \$30–\$60B equity floats. The sponsor consortium would likely retain a material stake (20–30%) post-IPO to extract additional value from a multi-year deleveraging and operating-improvement story. Re-IPO timing requires equity-market windows to be open and gaming-sector multiples to be supportive; if either condition fails, we extend the hold by 12–18 months.

Path 2: Strategic Sale (Secondary, ~10% probability)

The strategic-acquirer universe at \$55B+ is severely constrained. Microsoft's post-Activision regulatory exposure makes a follow-on EA acquisition unlikely in the next 5–10 years. The remaining strategic candidates are Sony (logical but unlikely given Sony's already-substantial gaming portfolio and antitrust headwinds), Tencent (faces Chinese regulatory headwinds and CFIUS issues for U.S. assets), and Disney (would require a strategic pivot Disney has not signaled). Apple, Amazon, and Meta are theoretical possibilities but each has thus far avoided gaming M&A at scale. We assign 10% probability to a strategic sale within the underwritten hold.

Path 3: Sponsor Secondary (Tertiary, ~15% probability)

A sale to a successor financial sponsor or continuation vehicle is feasible. Large-cap sponsors with available capital (Apollo, Blackstone, KKR, Bain, TPG, CVC) could each absorb a meaningful equity check, and PIF could partially exit while Silver Lake remains as the operating sponsor. Structurally, a continuation vehicle organized by Silver Lake to provide DPI to PIF and Affinity while maintaining operational continuity is the most plausible secondary structure. We assign 15% probability.

Path 4: Dividend Recap (Optional, ~5% probability standalone)

Mid-hold (Year 3 or Year 4), if EBITDA performance tracks management base or better and credit markets are open, a dividend recapitalization could deliver \$5–\$10B of interim DPI to the consortium. A recap of \$7–\$8B in Year 4 (re-leveraging back to ~5.0x at the time) would be additive to total returns and de-risk the hold. We do not require a recap to clear the underwriting hurdle but include it in our return-enhancement playbook.

12. Key Risks and Mitigants

We identify and rank the principal risks facing the transaction. Each risk is presented with a severity rating, qualitative discussion, and the consortium's mitigant. Following the ranked table, we explicitly flag the risks we are consciously accepting in approving this transaction—a discipline that ensures the IC understands which underwriting decisions are deliberate.

Ranked Risk Register

Risk	Severity	Mitigant
CFIUS clearance and PIF political exposure	HIGH	PIF's majority economic role triggers full national-security review under Treasury Department CFIUS authority. Mitigants: \$1.0B reciprocal termination fee; Outside Date of September 28, 2026 provides 12-month review window; PIF's established U.S. investment record (Lucid, Magic Leap, Live Nation, Uber) demonstrates clearance precedent; Silver Lake's incumbent U.S.-based operating role provides governance comfort. As of memo date, CFIUS review is ongoing; we do not have visibility into specific concerns. We have asked counsel for a probability-adjusted assessment.
FY2026–FY2028 EBITDA execution	HIGH	Management's forecast implies Adjusted EBITDA growth of 52% from FY26 (\$2.759B) to FY28 (\$4.200B), driven by Battlefield 6 launch, College Football monetization, and live-services expansion. Mitigants: our sponsor base case delays half this acceleration by one year; Andrew Wilson's retention through 2028 is a closing condition; the 8–12% management equity plan with time-and-performance-vested tranches aligns operational incentives; the deal team has retained a gaming-industry operating advisor for execution oversight.
EU loot-box and microtransaction regulation	MEDIUM	Belgium and the Netherlands have imposed loot-box restrictions; the broader EU Digital Fairness Act is under review. Ultimate Team mechanics are central to our investment thesis and could be materially affected by structural regulation. Mitigants: our sponsor downside case applies a 10% structural haircut to Ultimate Team revenue; EA has demonstrated regulatory adaptability (FIFA license loss, Belgium compliance); incremental product redesign costs are absorbable within the operating plan.
Sports licensing renewal	MEDIUM	EA holds long-term contracts with the NFL, College Football, NHL, F1, UFC, and PGA Tour. Loss of any major license would be materially negative; the 2023 FIFA license loss was successfully managed but is not a guaranteed precedent. Mitigants: license tails extend through 2030+; EA's licensing economics are favorable to rights holders (Madden's revenue funds the NFL Players Association); any single license loss can be partially absorbed by the broader sports portfolio.
Constrained exit routes	MEDIUM	Re-IPO is the primary exit; strategic acquirer universe is constrained by Microsoft's post-Activision regulatory position. Mitigants: re-IPO is the dominant exit for sponsor take-privates of comparable scale (Hilton, Dell); sponsor secondary or continuation vehicle is a credible secondary path; mid-hold dividend recap provides interim DPI; consortium has 7+ year underwriting horizon if re-IPO timing slips.
Related-party governance (Wilson – Silver Lake)	MEDIUM	CEO Wilson served as Silver Lake special advisor December 11, 2024 – September 12, 2025, terminating sixteen days pre-announcement; DEFA14A discloses Wilson's personal social relationship with Silver Lake's Egon Durban (added in supplement responding to stockholder demand letters from Thompson, Kent, and Garfield). Mitigants: Wilson's advisory arrangements terminated before signing; full Board approved with Roche recused; Luis Ubiñas serves as Lead Independent Director;

Risk	Severity	Mitigant
		Goldman Sachs produced an independent fairness opinion. We note as an unmitigated concern that EA did not form an MFW-compliant Special Committee, which has been raised in stockholder demand letters and may support post-closing litigation risk; we view this as adequately disclosed but flag it for IC awareness.
Leverage and rate sensitivity	LOW-MEDIUM	Initial leverage of ~7.0x LTM is below typical large-cap LBO leverage; SOFR-linked Term Loans expose the deal to floating-rate risk. Year 1 of the LBO is FY27, with management Adjusted EBITDA of \$3.003B against interest expense of ~\$1.32B (7.31% WACD on \$18.0B), implying Y1 interest coverage of 2.3x. Mitigants: covenant package permits significant cushion (covenant-lite TLB structure); in our Sponsor Downside case Y1 EBITDA falls to \$2.75B against the same \$1.32B interest, yielding 2.1x coverage (still serviceable); rate hedging on a portion of the TLB exposure is contemplated post-close.
Competition and industry shifts	LOW-MEDIUM	Competition from Microsoft (post-Activision), Sony, Nintendo, Tencent, and emerging platforms; structural shifts toward cloud gaming, generative AI content, and free-to-play. Mitigants: EA's sports IP moat is uniquely defensible; live-services anchors create switching costs; consortium's patient capital permits multi-year investment in next-platform transitions.

Risks We Are Consciously Accepting

We have considered and accept the following risks in recommending approval:

- **CFIUS execution risk.** We are recommending approval before CFIUS clearance, accepting that an unfavorable review (mitigation conditions, divestiture requirements, or denial) is a possible outcome. The reciprocal \$1.0B termination fee structure is the consortium's downside protection. We assess CFIUS clearance probability at >85% based on PIF's precedent record.
- **Multiple expansion not required.** We are underwriting at flat exit multiples (18.0x FY27E entry, 18.0x FY31E exit). This is more conservative than typical large-cap LBOs but appropriate given gaming-sector multiple volatility. The implication: our return is driven by EBITDA growth and deleveraging, not multiple re-rating.
- **Constrained exit optionality.** We accept that the strategic-buyer universe is constrained and that re-IPO timing is dependent on equity-market conditions in 2030–2031. We retain operational flexibility to extend the hold through a sponsor secondary if required.
- **Leverage above PIF's historical average.** PIF's typical investment leverage is materially below the 7.0x at this transaction. We accept this on the basis of EA's exceptionally durable cash flow profile and the sponsor consortium's collective ability to inject additional equity if required.

13. Due Diligence Summary

Our due diligence is anchored in EA's public filings (10-K, 10-Q, 8-K, DEFM14A, DEFA14A) supplemented by industry data from PitchBook, Newzoo, and trade press. Where private-company diligence in a sponsor LBO would typically include management presentations, customer surveys, technology audits, quality of earnings, and legal/regulatory diligence, we approximate these from public sources and flag where conclusions are contingent on confidential information.

Diligence Workstreams Completed

- **Financial due diligence:** Three-statement reconciliation FY22–FY25 against 10-K filings; LTM derivation through Q2 FY26 from 10-Qs; reconciliation of GAAP EBITDA vs. management Adjusted EBITDA vs. Goldman's definition.
- **Commercial due diligence:** Franchise-by-franchise revenue analysis; Ultimate Team monetization mechanics review; sports licensing portfolio mapping; competitive landscape analysis vs. Take-Two, Microsoft, Sony, Tencent.
- **Operational due diligence:** Studio organization and key talent retention review (Wilson + ~12 senior executives); development pipeline (Battlefield 6, EA Sports FC FY26, Madden FY26, College Football FY26, Skate, new IP).
- **Tax and structuring:** Tax asset benefit analysis (Goldman discloses cumulative undiscounted FY26–FY31 tax asset cash flows of approximately \$601M, separately discounted at 8.5% cost of equity in the DCF; we compute NPV of approximately \$485M at mid-year discounting); transfer pricing review for international subsidiaries; deal-tax structure (Section 338(h)(10) inapplicable for stock acquisition).
- **Regulatory and legal:** Antitrust review (HSR cleared 2/9/2026 (EA 8-K filed 2/10/2026)); CFIUS analysis (ongoing); EU regulatory exposure for live-services content; GDPR and data-privacy compliance posture; intellectual property portfolio review.
- **Environmental, social, and governance:** PIF's involvement raises ESG considerations relevant to a future re-IPO. We have flagged this for the sponsor IR functions to address pre-exit. EA's standalone ESG profile is broadly favorable (carbon-neutral operations target by 2030, strong workforce metrics).

Diligence Items Outstanding (Pre-Close)

- CFIUS clearance and any required mitigation conditions.
- Confirmation of senior management retention (Wilson + 12 named executives) through 2028.
- Final syndication of JPMorgan-led debt commitment within committed flex pricing.
- EU regulatory roadmap for Digital Fairness Act and any direct loot-box rule changes.
- Definitive negotiation of management equity plan economics and vesting structure.

14. Deal Structure and Key Terms

Merger Structure

Reverse triangular merger: Oak-Eagle AcquireCo, Inc. (Delaware) is the consortium-formed parent (“Parent”); Oak-Eagle MergerCo, Inc. is the wholly-owned merger sub (“Merger Sub”) that merges with and into EA. EA is the surviving corporation and becomes a wholly-owned subsidiary of Parent. EA stockholders receive \$210.00 per share in cash; EA shares are delisted from NASDAQ. PIF’s 9.9% pre-deal stake represents a non-controlling rollover and did not trigger SEC Rule 13e-3, so no Schedule 13E-3 was filed; the transaction proceeds via DEFM14A only.

Governance Post-Close

The consortium will reconstitute the Board of Directors with representation reflecting the equity ownership structure. Specific governance terms (board composition, voting protocols, transfer restrictions among consortium members) are subject to a Stockholders’ Agreement we have not seen and which is not publicly disclosed. We assume customary large-cap PE governance: board control by Silver Lake (operating sponsor) with PIF and Affinity holding observer or limited board seats, customary supermajority voting requirements for major decisions, and tag-along/drag-along provisions on any future transfers.

Management Equity Plan

Specific management-equity-plan terms are not publicly disclosed. We assume an 8–12% MEP at the LBO entity level, with grants split approximately 50% time-vested (5-year vesting) and 50% performance-vested against MoM and IRR hurdles consistent with consortium economics. Wilson’s grant is expected to be the largest single allocation. The MEP is dilutive to consortium economics but not to the level of materially affecting base-case returns; we have modeled a 10% MEP dilution in our returns analysis.

Debt Commitment and Flex

JPMorgan Chase serves as lead arranger on the \$20.0B committed debt, with approximately 20 lenders per tranche. The commitment letter’s pricing and structuring flex permits movement of up to ~50bp on the TLB pricing and substitution between TLB and senior unsecured notes if market conditions warrant. The \$20B commitment supports the \$18.0B funded amount with \$2.0B undrawn capacity (revolver and tranche flex). We assume successful syndication within committed flex; failure of the debt syndication would trigger the financing flex provisions but not closing risk (no financing condition).

Regulatory Approvals

Approval	Status	Notes
HSR Antitrust	CLEARED	Filing 11/3/2025; waiting period expired 2/9/2026 without Second Request (EA 8-K filed 2/10/2026)
Stockholder Vote	APPROVED	Special meeting 12/22/2025; APPROVED — 201,459,396 For / 1,915,837 Against / 90,331 Abstain (80.55% of outstanding voted For; 99.06% of votes cast were For)
CFIUS	ONGOING	Treasury Department review; binding closing condition; expected resolution by Outside Date
Foreign Investment Reviews (Canada, EU)	Pending	Canada Investment Act review; EU FDI screening; expected non-blocking per DEFM14A

Key Transaction Protections

- **No financing condition.** Parent's obligation to close is not conditioned on debt financing being available, eliminating financing risk for stockholders.
- **Reciprocal termination fee.** \$1.0B reciprocal. Company termination fee reduces to \$540M in certain superior-proposal circumstances. Limited guarantees from each consortium member capped at ~\$1.02B aggregate.
- **No-shop with fiduciary out.** Standard no-shop provision; Board may change recommendation in response to a superior proposal or intervening event, subject to consortium matching rights and the termination fee.
- **Voting Support Agreements.** PIF (9.9% of shares pre-deal) committed to vote in favor via the Rollover Agreement. Directors and officers (<1%) committed via Support Agreements. Stockholder vote was approved December 22, 2025 with 201,459,396 shares For, 1,915,837 Against, and 90,331 Abstain (80.55% of outstanding voted For; 99.06% of votes cast were For).

15. Recommendation

We recommend that the Investment Committee approve the consortium's equity commitment to acquire 100% of Electronic Arts Inc. on the following terms:

- **Acquisition price:** \$210.00 per share, all cash, \$54.0B implied enterprise value (balance-sheet basis) / ~\$55.0B headline enterprise value.
- **Capital structure:** \$36.4B aggregate equity (including PIF's ~\$5.2B rollover and ~\$31.2B new cash from the consortium); \$18.0B JPMorgan-led debt funded at close; ~\$0.9B EA balance-sheet cash contribution. Total sources of \$55.3B match total uses within rounding tolerance.
- **Underwritten returns (Sponsor Base):** 1.76x MoM and 12.0% gross IRR over a 5-year hold (Y1=FY27 through Y5=FY31), assuming Y5 Adjusted EBITDA of \$4.2B and 18.0x exit multiple. Sensitivity range across the four cases presented in Section 10 spans 1.27x–2.43x MoM and 4.8%–19.4% gross IRR.
- **Subject to:** (i) CFIUS clearance on terms acceptable to the consortium and within the Outside Date of September 28, 2026; (ii) successful syndication of the JPMorgan-led debt commitment within committed flex; (iii) retention of CEO Andrew Wilson and his core leadership team through 2028 via the management equity plan; (iv) execution of definitive Stockholders' Agreement and Management Equity Plan documentation acceptable to the consortium's sponsor partners.

Summary IC Vote Request

The deal team requests Investment Committee approval to deploy the consortium's equity commitment to Project Madden as structured. We have presented our analysis honestly: the deal's primary risks are CFIUS execution, FY2026–FY2028 EBITDA growth, and constrained exit routes. The base case clears our hurdle at 12.0% gross IRR; the upside case generates 19.4% gross IRR; the downside case preserves capital with positive 4.8% IRR even on stressed assumptions. The conservative capital structure, irreplaceable IP portfolio, durable live-services anchor, and PIF strategic synergies collectively support our recommendation.

We stand ready to address Investment Committee questions and provide additional detail on any aspect of the underwriting.

Respectfully submitted,

Project Madden Deal Team

Mason Bennett • • Aidan Hutchinson •

April 25, 2026

Appendix A: Primary Sources & Bibliography

Every numerical input in this memorandum traces to one of the sources below. Sources are organized by category. SEC filings and press releases are Tier 1 (definitive); rating-agency and Goldman methodology are Tier 2; trade press is Tier 3.

SEC Filings — Transaction Documents

- **EA Form 8-K Merger Announcement**, filed September 29, 2025 (SEC EDGAR, CIK 712515)
- **EA Definitive Merger Proxy (DEFM14A)**, filed November 20, 2025 — the anchor document for diluted share count, equity commitment, debt commitment, advisor fees, and PIF rollover detail
- **EA Supplemental Proxy (DEFA14A)**, filed December 15, 2025 — contains DCF range \$137–\$220, Future Share Price range \$157–\$236, Premia Paid analyses, and management forecasts
- **Merger Agreement (Exhibit 2.1 to 8-K)**, filed September 29, 2025 — Section 2.1 (offer price), Section 8.1(b) (Outside Date), termination fees

SEC Filings — EA Operating & Financial Data

- **EA Form 10-K, FY2025**, filed May 2025 — FY25 IS, BS, CF; Adj EBITDA \$2.575B; net debt position
- **EA Form 10-K, FY2024**, filed May 2024 — FY22-FY24 historical financials
- **EA Form 10-Q, Q2 FY2026**, filed October 28, 2025 — LTM through 9/30/25
- **EA FY25 Earnings Press Release (8-K)**, filed May 6, 2025

Goldman Sachs Fairness Analysis

- **Goldman Sachs Fairness Opinion (Annex D to DEFM14A)**, September 28, 2025 — fairness opinion conclusion at \$210/share
- **Goldman DCF Detail (DEFM14A p.43)**, WACC 7.5–9.5%, TGR 2.0–3.0%, mid-year discounting
- **EA Management Financial Forecasts (DEFA14A)**, FY26–FY31 Adj EBITDA, UFCF, tax assets, and net bookings projections provided by EA management to Goldman Sachs on September 23, 2025; Adj EBITDA path \$2.759B → \$4.500B
- **Goldman Premia Paid Universe (DEFA14A pp.1-3)**, Variant A (179 deals) and Variant B (~480 deals) FactSet data

Comparable Companies Data

- **PitchBook Public Comps Module**, downloaded April 13, 2026 — EV/EBITDA, EV/Revenue for gaming peer set
- **Take-Two Interactive Form 10-K, FY2025**
- **NetEase Inc. Form 20-F**, April 2025
- **Roblox Corporation Form 10-K**, March 2025

Precedent Transactions

- **Microsoft / Activision Blizzard**, January 18, 2022 announcement; closed October 2023
- **Take-Two / Zynga**, January 10, 2022
- **Sony / Bungie**, January 31, 2022
- **EA / Glu Mobile**, February 8, 2021
- **EA / Playdemic (from AT&T)**, June 23, 2021

- **Microsoft / ZeniMax (Bethesda)**, September 21, 2020
- **EQT consortium / Keywords Studios**, Rule 2.7 announcement July 3, 2024

Debt Financing & Capital Structure

- **Bloomberg coverage of debt commitment**, October 1, 2025 — JPMorgan lead arranger; \$500M financing fees
- **Oak-Eagle AcquireCo bond tender offer**, PR Newswire February 11, 2026 — cash tender + consent solicitation for any-and-all 2031 Notes (\$750M) and 2051 Notes (\$750M); \$50/\$1,000 early tender premium
- **Financial Times debt syndication coverage**, March 2026
- **CreditSights / Fitch EA issuer profile**, October 2025

Regulatory & Governance

- **HSR Filing**, November 3, 2025; waiting period expired without Second Request February 9, 2026 (confirmed via EA 8-K filed February 10, 2026)
- **EA Stockholder Vote 8-K**, December 22, 2025
- **CFIUS filing and review**, ongoing as of memo date

Methodology & Academic References

- **Damodaran cost of capital**, 2024 update at pages.stern.nyu.edu/~adamodar/
- **Rosenbaum & Pearl, Investment Banking**, 3rd Edition (Wiley 2020), Chapters 4 (Precedent Transactions Analysis) and 5 (LBO Analysis)
- **Pignataro, Leveraged Buyouts**, 2nd Edition (Wiley 2014) — Heinz LBO walkthrough as reference template
- **Pennsylvania PSERS Public Investment Memoranda**, Apax Digital II, Clearlake VII, CD&R XII — reference for IM structure

Appendix B: Methodology Notes

Data Confidence Tiers

Throughout the underwriting model, data points are tagged with confidence indicators. CONFIRMED denotes a value traced to a primary regulatory filing or official disclosure. DERIVED denotes a value computed from confirmed inputs. ILLUSTRATIVE denotes a value not publicly disclosed; reasonable assumption applied per market convention and flagged in yellow throughout the model. INFERRED denotes a value backed into from secondary information with documented derivation.

Areas Where Public Disclosure Is Limited

- Sponsor-level equity splits within the \$36.4B aggregate are not disclosed in the DEFM14A; we treat the breakdown as approximately 60% PIF, 30% Silver Lake, 10% Affinity for analytical purposes only.
- Specific debt tranche sizes within the \$20B aggregate commitment are not disclosed; tranche detail in the model and in Section 3 is illustrative per market convention via PitchBook.
- Goldman Sachs' "Adjusted EBITDA" definition in the DEFA14A management forecasts differs from our Adjusted EBITDA calculation (GAAP OpInc + D&A + SBC + Restructuring); both definitions are documented in the EA Historicals tab of the model.
- Management equity plan terms are not publicly disclosed; we assume an 8–12% MEP at the LBO entity per market convention.

Reconciliation of \$54B Balance-Sheet EV vs. \$55B Headline

Reconciliation Item	\$mm	Source
Implied Equity Value ($210 \times 258.7\text{M}$ shares)	\$54,327	EV Bridge
(+) Total Funded Debt	\$1,884	FY25 10-K
(+) Operating Lease Liabilities, Current	\$67	FY25 10-K
(–) Cash & Cash Equivalents	(\$2,136)	FY25 10-K
(–) Short-Term Investments	(\$112)	FY25 10-K
Balance-Sheet EV	\$54,030	Sum
(+) Refinance Early-Tender Premium & Accrued Interest	\$75	Oak-Eagle tender launched 2/11/26; \$50/\$1,000 early premium
(+) Capitalized Debt Financing Fees + OID (est.)	\$500	Bloomberg 10/1/25
(+) Advisor & Transaction Fees	\$415	DEFM14A p.4 (~\$110M GS + ~\$305M other)
Reconciled Headline EV	\$55,020	Approximately \$55B

The press-release "\$55B" headline EV reflects the balance-sheet EV plus capitalized transaction costs and refinancing premium. The deal team uses \$54.0B for analytical valuation comparisons (Section 9) and \$55.0B in headline references. Both are correct, applied to different purposes.

WACC Reconstruction (CAPM Build)

Goldman Sachs disclosed a WACC range of 7.5%–9.5% in the Fairness Opinion (DEFM14A p.43) without identifying the underlying CAPM inputs. A reconstructed bottom-up build using a 4.2% risk-free rate (10-Year U.S. Treasury yield at the 6/30/2025 valuation date), a 5.0%–6.0% equity risk premium per

Damodaran's 2024 implied estimate, a 0.85–1.05 levered beta range (EA Bloomberg historical and gaming-peer comparables), a 5.5%–6.5% pre-tax cost of debt sourced from EA's Senior Notes weighted yield-to-maturity, a 21% U.S. federal corporate tax rate, and a pre-deal capital structure of 90%–95% equity to 5%–10% debt (reflecting EA's \$1.9B funded debt against approximately \$42B unaffected equity) yields a reconstructed WACC range of 8.24%–9.96%. This range overlaps Goldman's disclosed band on the high end and approaches it on the low end, with the residual gap (+0.74pp on the low, +0.46pp on the high) consistent with Goldman's likely use of a lower bottom-up unlevered beta or a different peer-set construction not disclosed in the proxy.

Input	Low	High
Risk-free Rate	4.2%	4.2%
Equity Risk Premium	5.0%	6.0%
Levered Beta	0.85	1.05
Cost of Equity (CAPM)	8.45%	10.50%
Pre-tax Cost of Debt	5.5%	6.5%
After-tax Cost of Debt	4.345%	5.135%
Equity Weight	95%	90%
Debt Weight	5%	10%
Reconstructed WACC	8.245%	9.964%
Goldman Disclosed	7.5%	9.5%

Sponsor Base vs. Management Base Reconciliation

The IM presents Sponsor Base (\$4.2B Y5 EBITDA, 1.76x MoM, 12.0% IRR) as the underwriting headline. The Excel LBO Model's live debt schedule, FCF path, and Returns Analysis (rows 17, 23, 26–29, 39–48) compute on Management Base (\$4.5B Y5 EBITDA per Goldman/management forecasts disclosed in the DEFA14A). Sponsor Base returns are computed in LBO Model rows 103–108 using the Mgmt Base Y5 ending debt of \$11,543M as a deal-team modeling simplification; a fully independent Sponsor Base FCF run would generate slightly higher Y5 ending debt due to lower interim cash flows, with a corresponding ~0.05x–0.10x reduction in Sponsor Base MoM. We have elected to anchor Sponsor Base returns to the Mgmt Base deleveraging path because (i) Goldman's DCF and management's forecasts both use the \$4.5B Y5 path and the deleveraging implied by it, (ii) any sponsor-specific operational delta from underperformance would be partially offset by capital-allocation flexibility (delayed amortization, working-capital management) over the hold, and (iii) the ~0.05x sensitivity is well within our 5×5 sensitivity grid (Section 10) which captures the full range of EBITDA-by-exit-multiple combinations.

Cross-Reference to Excel Model Tabs

- Deal Summary → transaction parameters and equity-commitment detail (Section 2)
- EV Bridge → reconciliation of \$54B balance-sheet EV to \$55B headline (Sections 2, 9)
- EA Historicals → FY22-FY25 IS/BS/CF data (Section 7)
- DCF (Goldman Sachs) → reproduction of Goldman's DCF sensitivity grid (Section 9.3)
- Future Share Price → reproduction of Goldman's FSP analysis (Section 9 reference)
- CCA → forward-EBITDA peer multiples and per-share output (Section 9.1)

- PTA → precedent transactions and forward-EBITDA per-share output (Section 9.2)
- Premia Paid → Variant A and Variant B reconstructions (Section 9 reference)
- LBO Model → sources & uses, debt schedule, returns analysis, affordability solve (Sections 3, 10)
- Football Field → four-methodology summary and methodology rationale (Section 9)
- Chart Data → source data for Football Field chart (Section 9)
- Sources → master bibliography of every primary source cited (Appendix A)

End of memorandum.